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FUNDAMENTALS OF MANAGEMENT AND ORGANIZATIONAL BEHAVIOR

Week 2 – The Evolution of Management

MNT 215 – Summer 2026

Suliman S. Olayan School of Business | American University of Beirut



EARLY FORMS OF MANAGEMENT



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EARLY MANAGEMENT (1/2)

Management practices evolved over time. Some examples that required management skills based on their size and scope include:

- The Egyptian Pyramids
- The Great Wall of China
- The Roman Catholic Church



EARLY MANAGEMENT (2/2)

- Adam Smith in *The Wealth of Nations* (1776) argued that the division of labor would benefit society overall
- **Division of labor:** breaking down jobs into narrow and repetitive tasks
- Also known as **job specialization**
- The Industrial Revolution, ushered in by machine power, also utilized the division of labor

CLASSICAL MANAGEMENT APPROACH



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CLASSICAL APPROACH

Classical approach: First studies of management, which emphasized rationality and making organizations and workers as efficient as possible

Scientific management: An approach that involves using the scientific method to find the “one best way” for a job to be done



FREDERICK WINSLOW TAYLOR

- Taylor's time and motion studies conducted at Bethlehem Steel were focused on finding the **best way to perform a specific task**.
- Taylor published his results describing his theory of scientific management.



TAYLOR'S FOUR PRINCIPLES OF SCIENTIFIC MANAGEMENT

1. Develop a science for each element of an individual's work to replace the old rule-of-thumb method.
2. Scientifically select and then train, teach, and develop the worker.
3. Cooperate with the workers to ensure that all work is done in accordance with the principles of the science.
4. Divide work and responsibility almost equally between management and workers. Management does all work for which it is better suited than the workers.



FRANK AND LILLIAN GILBRETH

- Studied hand and motion techniques to reduce waste
- The Gilbreths were among the first researchers to use motion picture films to study hand-and-body motions
- Identified 17 basic hand motions they dubbed therbligs which is Gilbreth spelled backwards with the “th” transposed
- **Therbligs**: a classification scheme for labeling hand motions
- Focused efforts on improving efficiency



GENERAL ADMINISTRATIVE THEORISTS

- General administrative theorists looked at management by focusing on the entire organization
- The most prominent of the general administrative theorists were Henri Fayol and Max Weber
- Fayol identified 14 principles of management shown covered on the following slides



FAYOL'S 14 PRINCIPLES OF MANAGEMENT (1/3)

- 1. Division of work:** Specialization increases output by making employees more efficient.
- 2. Authority:** Managers must be able to give orders, and authority gives them this right.
- 3. Discipline:** Employees must obey and respect the rules that govern the organization.
- 4. Unity of command:** Every employee should receive orders from only one superior.
- 5. Unity of direction:** The organization should have a single plan of action to guide managers and workers.



FAYOL'S 14 PRINCIPLES OF MANAGEMENT (2/3)

- 6. Subordination of individual interests to the general interest:** The interests of any one employee or group of employees should not take precedence over the interests of the organization as a whole.
- 7. Remuneration:** Workers must be paid a fair wage for their services.
- 8. Centralization:** The degree to which subordinates are involved in decision making.
- 9. Scalar chain:** The line of authority from top management to the lowest ranks.
- 10. Order:** People and materials should be in the right place at the right time.



FAYOL'S 14 PRINCIPLES OF MANAGEMENT (3/3)

- 11. Equity:** Managers should be kind and fair to their subordinates.
- 12. Stability of tenure of personnel:** Management should provide orderly personnel planning and ensure that replacements are available to fill vacancies.
- 13. Initiative:** Employees allowed to originate and carry out plans will exert high levels of effort.
- 14. Esprit de corps:** Promoting team spirit will build harmony and unity within the organization.



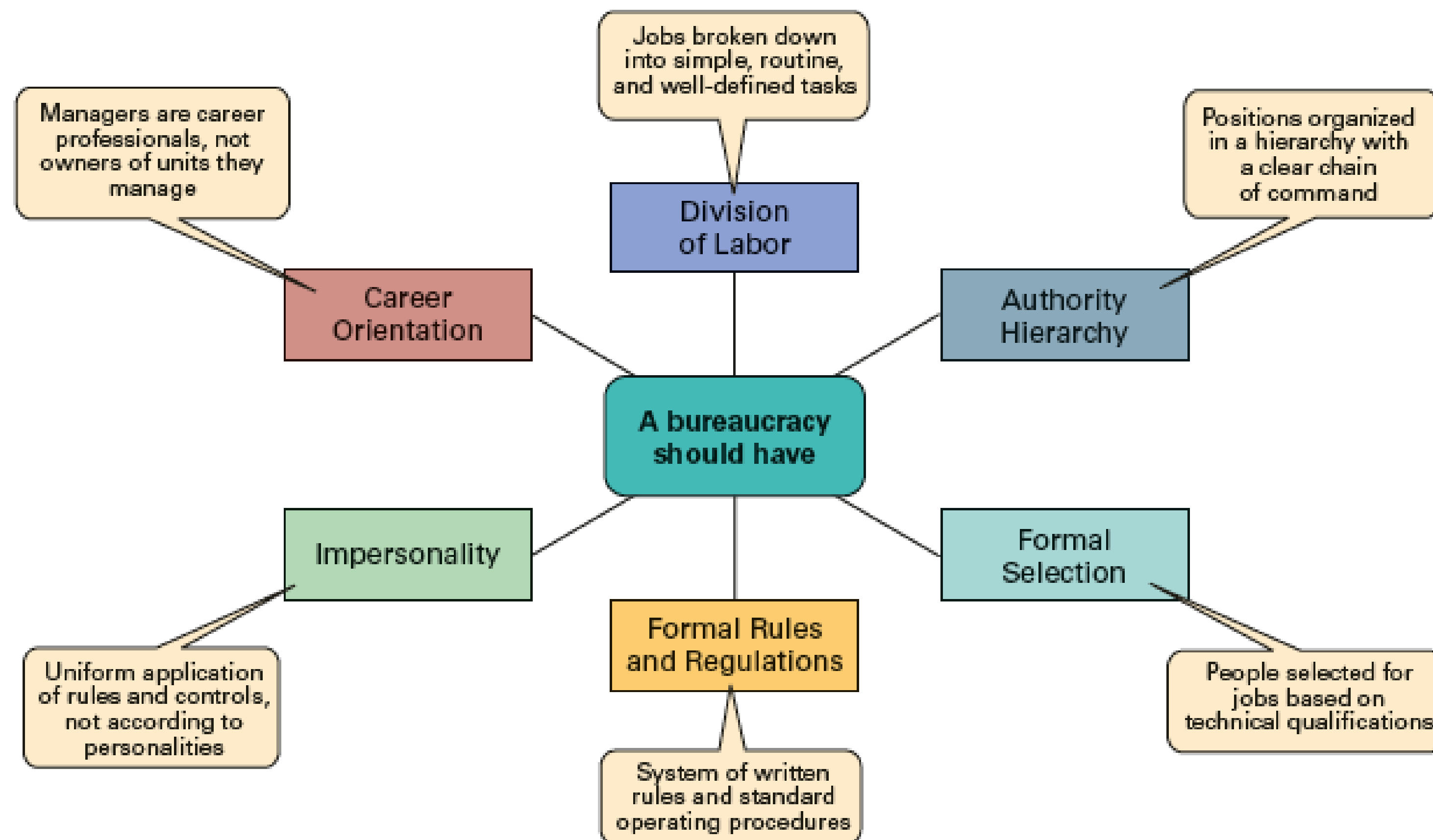
MAX WEBER

Weber described what he believed was the ideal system of organization that he called a **bureaucracy**:

- A system characterized by division of labor, a clearly defined hierarchy, detailed rules and regulations, and impersonal relationships
- He proposed the framework to show how work could be done
- It became the framework for many of today's large organizations



CHARACTERISTICS OF WEBER'S BUREAUCRACY



SOCIAL-PERSON APPROACHES



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SOCIAL-PERSON APPROACHES

Social-person approaches: Management theories that focus on the organization's human and social factors

Managers get things done by working with people. This explains why some writers have chosen to look at management by focusing on the organization's human and social factors.



THE HAWTHORNE STUDIES

Hawthorne Studies: A series of studies during the 1920s and 1930s that provided new insights into individual and group behavior

These studies resulted in the following conclusions:

- People's attitudes and behavior are closely related
- Group factors significantly affect individual behavior
- Group standards establish individual worker output,
- Money is less a factor in determining output than group standards, group attitudes, and security



THE HUMAN RELATIONS MOVEMENT

Human relations movement: management approach based on the belief that a satisfied worker is a productive worker

- Believed in the importance of employee satisfaction
- Believed that satisfied workers are productive workers
- These viewpoints were largely shaped by personal beliefs and not substantive research



BEHAVIORAL SCIENCE THEORISTS

Behavioral science theorists: Researchers who engaged in *objective* research of human behavior in organizations

Several researchers made significant contributions in this field including:

- Fred Fiedler, Victor Vroom, Frederick Herzberg, Edwin Locke, David McClelland, Robert House, and Richard Hackman
- Many of their contributions will be covered in later chapters

QUANTITATIVE APPROACHES



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QUANTITATIVE APPROACH

Quantitative approach: the use of quantitative techniques to improve decision making

- Ultimately became known as management science
- Evolved from military applications developed during WWII

Total quality management (TQM) emerged from the quantitative approach.

- A philosophy of management that is driven by continuous improvement and responsiveness to customer needs and expectations



WHAT IS QUALITY MANAGEMENT?

- Intense focus on the customer
- Concern for continual improvement
- Process focused
- Improvement in the quality of everything the organization does
- Accurate measurement
- Empowerment of employees

SYSTEMS AND CONTINGENCY APPROACHES



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SYSTEM AND CONTINGENCY APPROACHES

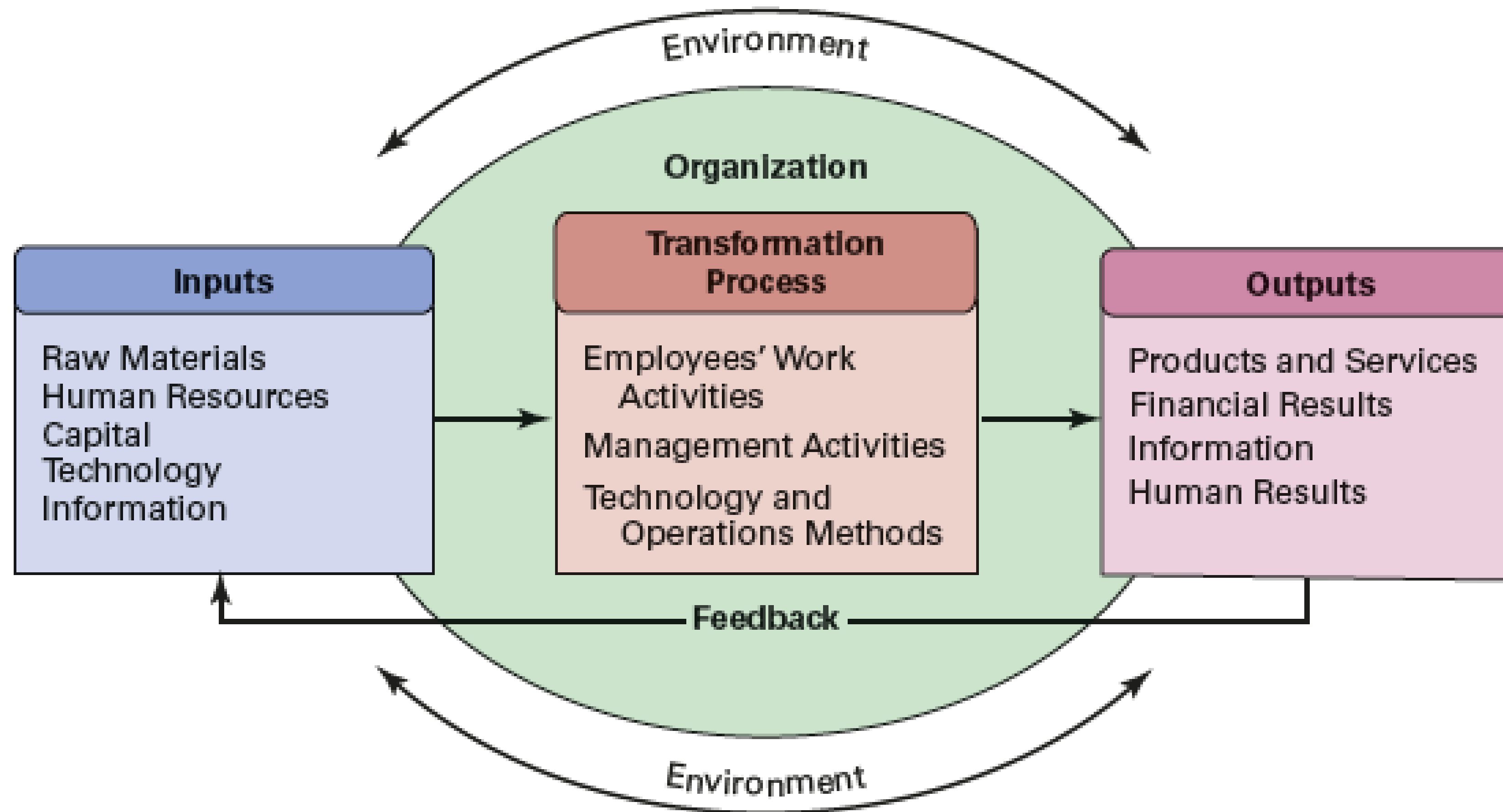
System: a set of interrelated and interdependent parts arranged in a manner that produces a unified whole

Closed systems: systems that are not influenced by and do not interact with their environment

Open systems: systems that interact with their environment



AN ORGANIZATION AS AN OPEN SYSTEM





CONTINGENCY APPROACH

Contingency approach: a management approach that recognizes organizations as different, which means they face different situations (contingencies) and require different ways of managing

- More than 100 different contingency variables have been identified
- The primary value of the contingency approach is that it stresses here are no simplistic or universal rules for managers to follow.

NEW MANAGEMENT APPROACHES



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THE NEW INDUSTRIAL REVOLUTION: TECHNOLOGY AND COMPUTERIZATION

- The important influence that technology and computerization have on current management is considerable
- Many businesses are now obsolete
- Some organizations operate with virtual teams—people who work together but are geographically dispersed
- The gig economy provides flexibility and freedom to employers and independent workers



NEW FORMS OF TAYLORISM

- Algorithmic management creates a deeper and digital version of Taylorism (Cameron, 2025; Noponen et al., 2024).

But what is **algorithmic management**?

- “software algorithms that assume managerial functions and surrounding institutional devices that support algorithms in practice.” (Lee et al., 2015)



DIGITAL TAYLORISM

Familiar characteristics	New characteristics
• Piece-meal wage • Standardization • Deskilling • Exploitation	• “Assembly line” to new professions • Digital scaffolds instead of physical control • Control of output rather than process

THANK YOU



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ADDITIONAL REFERENCES

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